Tenor

Fixed rates on Mezo MUSD

Lock the sMUSD savings rate until a set date, or sell your future yield for MUSD today.

Live app tenorfi.vercel.app **Code** github.com/hackid02/tenor **Mezo Buildathon** Wave 2 · Track 1 DeFi

The problem

Mezo’s savings rate moves. Nobody can lock it.

~5%

sMUSD rate in April 2026, per Mezo’s own launch post.

~13%

What sMUSD actually paid over the last 7 days on Mezo mainnet, read from its yield index.

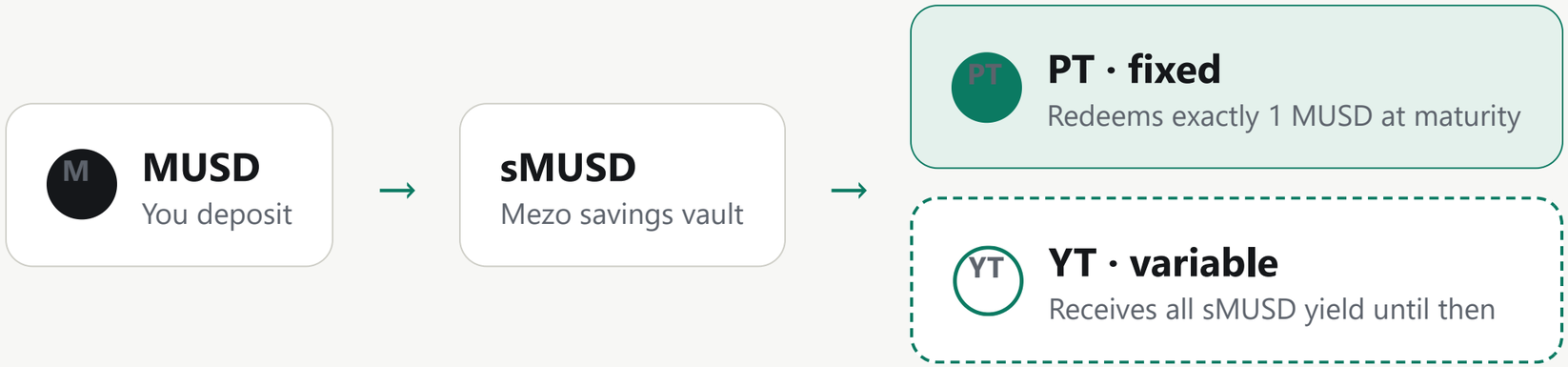
1%

Mezo’s fixed MUSD borrow rate. Borrowers know their cost, but not what their MUSD will earn.

Savers can’t plan around a variable rate, and BTC borrowers can’t lock the spread between Mezo’s fixed loan and the savings vault.

The solution

Split sMUSD into a fixed part and a variable part



Fix my yield

Buy PT below 1 MUSD. The return is set the moment you buy.

Sell future yield

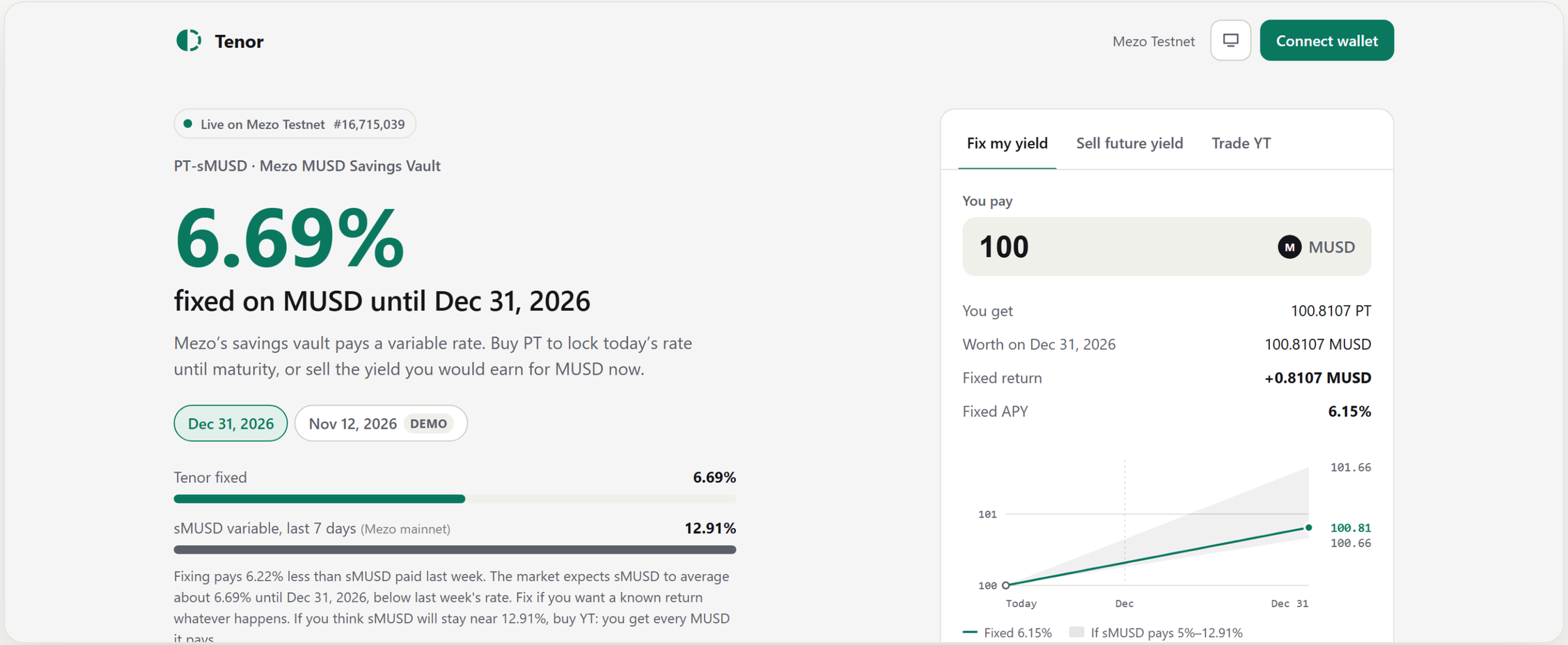
Keep the PT, sell the YT, get the yield in MUSD today.

Trade YT

Take the variable sMUSD rate. No liquidation; at worst it earns nothing.

The product, live on Mezo Testnet

One transaction per action, quotes exact to the wei



Built on Mezo

Every piece runs on Mezo’s own contracts

MUSD	Deposit, quote and yield asset
sMUSD (MUSDSavingsRate)	Every PT is backed 1:1 by sMUSD; YT receives its MUSD yield. Handles sMUSD’s real behaviour from its verified source.
Mezo Pools, concentrated liquidity	PT/MUSD pool with liquidity placed where PT trades. The router only accepts pools from Mezo’s CL factory.
Mezo PCV fee distribution	Mezo’s protocol fees reach Tenor’s YT holders: 41.42 MUSD claimed on-chain.
Mezo mainnet sMUSD	The app shows sMUSD’s real 7-day rate next to Tenor’s fixed rate.

Proof, on-chain today

Every action has run on Mezo Testnet

8
contracts deployed and verified on the Mezo explorer

41.42
MUSD of real Mezo protocol yield claimed through YT

29
tests, including fork tests on live Mezo Testnet

1
outside wallet has traded so far, listed apart from team wallets (docs/USERS.md)

- **Every action has a transaction** in PROOF.md. Team QA: 7 personas, 23/23 on-chain checks and 10/10 website checks; 5 bugs found and fixed (docs/QA.md).
- **Design change mid-wave, proven both ways:** a Mezo stable pool moved the fixed APY from 11.8% to 2.4% after small trades. Concentrated liquidity fixed it: a 50 MUSD trade locks 11.35% against a 12.00% quote.
- **Quotes match the router to the wei,** on 12 live trades and in fork tests.

Business model

Revenue from yield, and a reason to borrow more MUSD

Protocol fee

5% of the sMUSD yield paid to YT, plus any yield after maturity, goes to the treasury. Enforced in the contract.

Fixed carry

Borrow MUSD on Mezo at a fixed 1%, put it in PT, and the spread is fixed until maturity. More reason to mint MUSD.

Liquidity

LPs earn the PT pool’s swap fees on Mezo Pools. PT converges to 1 MUSD, so the range is narrow and predictable.

Status and next steps

Where Tenor is, honestly

- **Today:** live on Mezo Testnet, contracts verified, every action proven on-chain. Not audited. Pool liquidity is seeded by the team, and the first outside testers are trading now.
- **The rate today:** trades have moved the fixed rate from 12.00% to 6.69%, below sMUSD's 12.91% last week. The pool prices in a lower average rate to Dec 31; anyone who disagrees can buy YT and take the variable side.
- **Next (by end of December 2026):** capped mainnet markets on Mezo sMUSD with one- and three-month maturities; outside LPs for the PT pools.
- **Then (Q1 2027):** borrow MUSD against BTC and fix the sMUSD rate in one transaction.
- **Then (Q1–Q2 2027):** PT as collateral on Mezo's lending markets.

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